

Autodesk

NASDAQ : \$46.18B mkt cap · 211M sh · \$2.6B cash, \$2.5B debt · \$2.60B cash vs \$2.50B debt — roughly net-cash-neutral (~\$0.1B net cash); ~211M shares; ~\$448M buyback in Q1 FY27; Revenue \$7.21B FY26 (+18% as-reported); GAAP op margin ~21.9%, non-GAAP ~39%; FCF \$2.4B; Mature-Company DCF ~98% subscription/recurring; Down ~31% YTD to ~\$198, near the 52-week low (~\$205-\$329 range); Starboard (~\$500M, proxy fight) pushing margins

\$218.85

THE CENTRAL QUESTION

Does mission-critical CAD lock-in plus a Starboard-forced margin expansion to ~45% offset a maturing top line — or has growth matured into the price?

Autodesk trades at ~\$41.9B (~\$198, down ~31% YTD near the 52-week low) — ~17x FCF on \$7.21B revenue, a ~98%-recurring CAD/design franchise, roughly net-cash-neutral. The +18% as-reported growth is flattered by an agency→direct billing change; underlying (cc-adjusted) growth is nearer ~8-12%. The bull is durable switching-cost lock-in plus a Starboard-forced lift toward ~45% operating margin by FY28; the bear is maturing growth and activist/execution noise. The finding is +53.6%: even the bear is +9% and the modal case +53% on the lower underlying growth.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$304.79
expected fair value today
+39.3% vs spot \$218.85

FORWARD COMPOUNDED VALUE

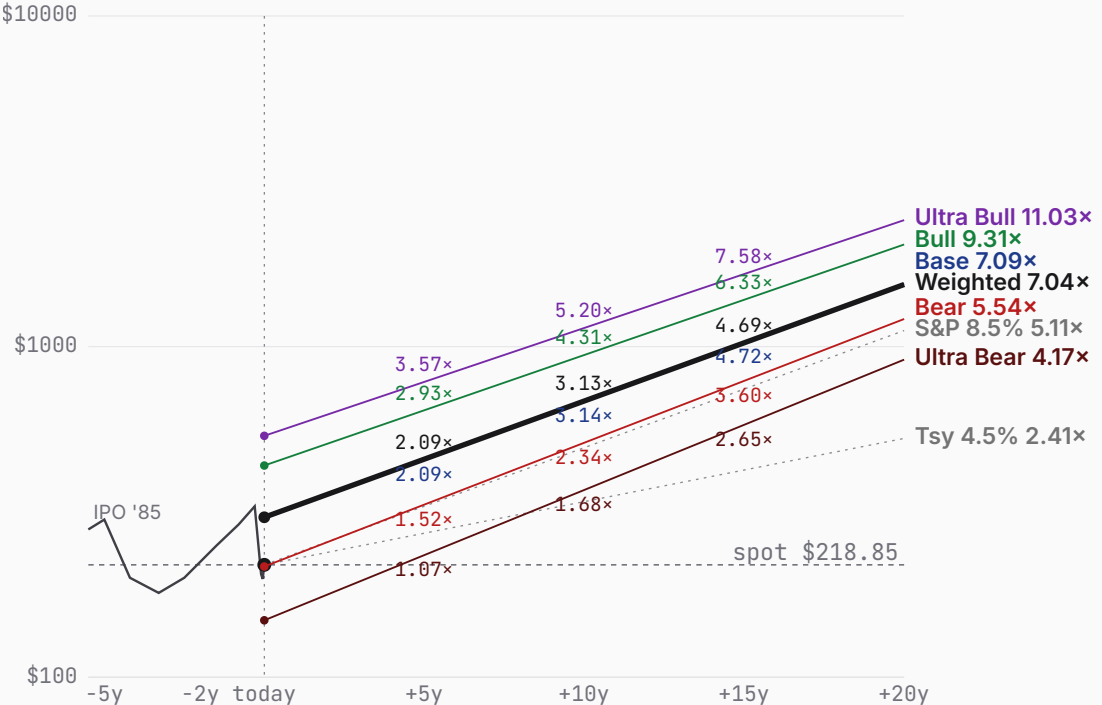
+5y	+10y	+15y	+20y
\$456.72	\$684.75	\$1,027.14	\$1,541.57
2.09× spot	3.13× spot	4.69× spot	7.04× spot

WEIGHTING RATIONALE

- Ultra Bear 13% Growth stalls; activist fizzles; ~\$149 (-25%).
- Bear 26% Underlying ~6%; partial margin lift; ~\$216 (+9%).
- Base 34% Underlying ~8-12%; margins to mid-30s; ~\$304 (+53%).
- Bull 19% Activist delivers; margins near 45%; ~\$437 (+120%).
- Ultra Bull 8% ~45% margin + AI/cloud re-accel; ~\$537 (+171%).

Bull (19%) + Ultra Bull (8%) together contribute \$126.01 — 41% of the \$304.79 expected value despite 27% combined probability. Today's spot (\$218.85) sits 28% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$148.74	BEAR	\$216.32	BASE	\$303.52	BULL	\$436.97	ULTRA BULL	\$537.38
	-32.0% vs spot		-1.2% vs spot		+38.7% vs spot		+99.7% vs spot		+145.5% vs spot
CAGR +4.0% WACC 9.5% CAGR +4.0% Prob 13%		CAGR +6.4% WACC 9.0% CAGR +6.4% Prob 26%		CAGR +9.0% WACC 8.5% CAGR +9.0% Prob 34%		CAGR +10.4% WACC 8.0% CAGR +10.4% Prob 19%		CAGR +12.0% WACC 7.8% CAGR +12.0% Prob 8%	
Growth stalls; activist fizzles.		Underlying ~6%; partial margin lift.		Underlying ~8-12%; margins to mid-30s.		Activist delivers; margins near 45%.		Margins hit ~45%; AI/cloud re-accelerate.	

PROBABILITY WEIGHTS

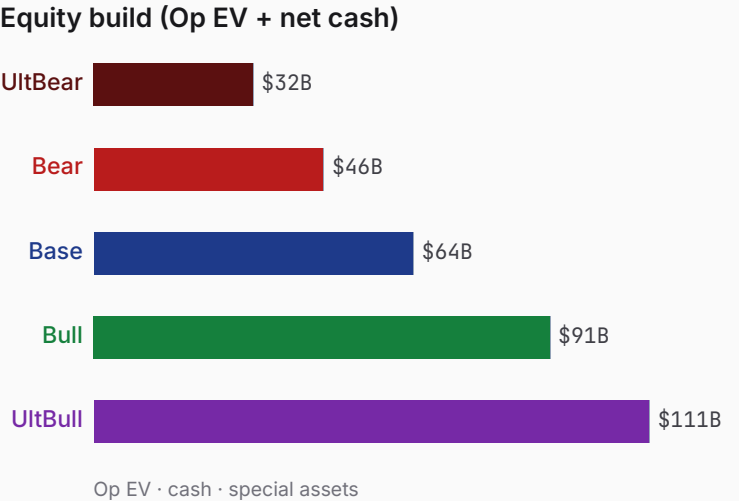
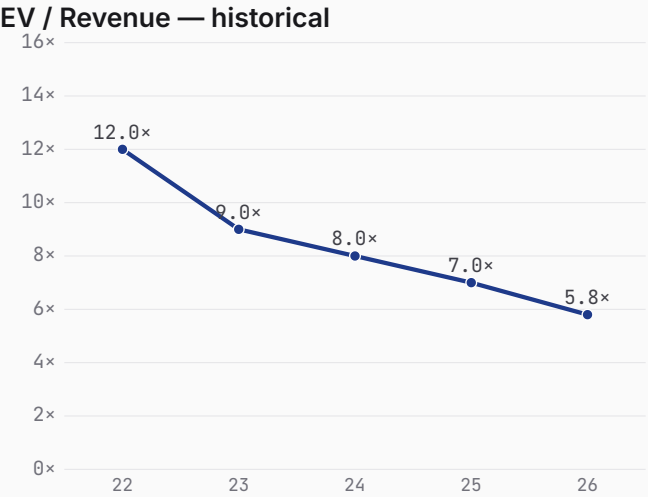
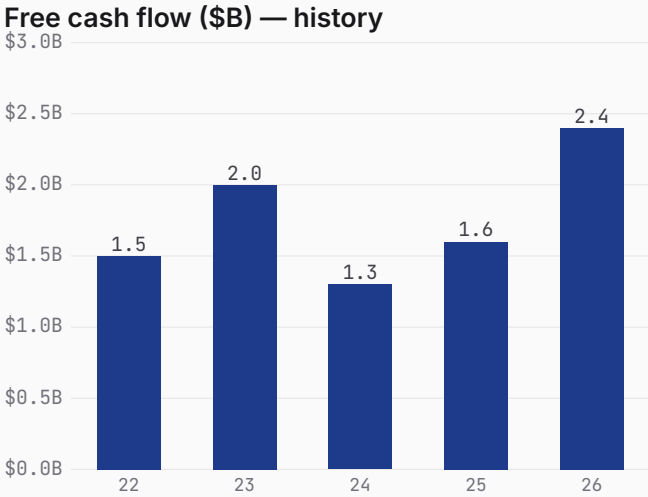
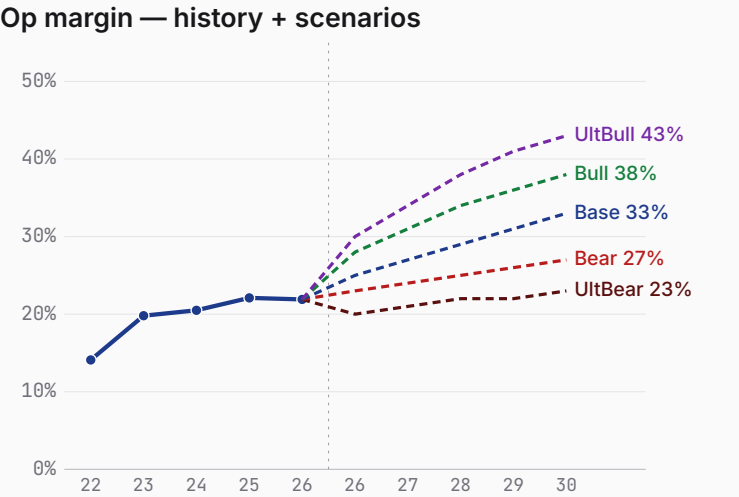
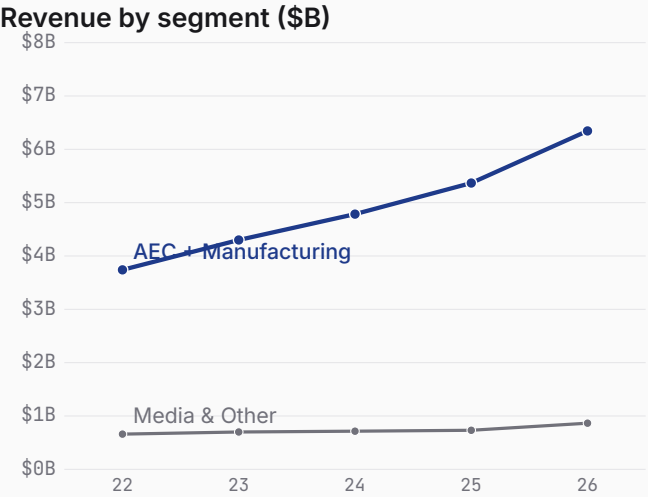
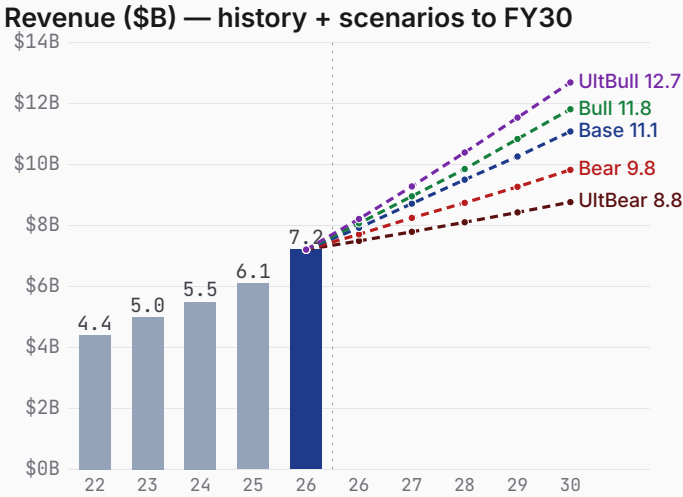
Ultra Bear 13% Bear 26% Base 34% Bull 19% Ultra Bull 8% · Weighted expected \$304.79 (+39.3% vs spot)

ULTRA BEAR	\$148.74	BEAR	\$216.32	BASE	\$303.52	BULL	\$436.97	ULTRA BULL	\$537.38
	-32.0% vs spot		-1.2% vs spot		+38.7% vs spot		+99.7% vs spot		+145.5% vs spot
Probability 13%		Probability 26%		Probability 34%		Probability 19%		Probability 8%	
Growth stalls; activist fizzles.		Underlying ~6%; partial margin lift.		Underlying ~8-12%; margins to mid-30s.		Activist delivers; margins near 45%.		Margins hit ~45%; AI/cloud re-accelerate.	
WHY 13%		WHY 26%		WHY 34%		WHY 19%		WHY 8%	
The genuine bear: growth is already maturing (decelerating mid-teens before the billing flatter), activist campaigns can stall, and a construction/manufacturing cycle can bite. 13% weight on growth stalling with the margin lift fizzling.		Lock-in holds and Starboard extracts some efficiency, but growth deceleration and execution noise keep the lift partial. 26% as the plausible 'defends but under-delivers the activist plan' path.		Requires lock-in to hold ~8-12% underlying growth AND Starboard to push margins materially higher over FY27-FY28 — consistent with the ~\$500M stake, the comp realignment, and the under-earned margin gap. 34% as the central outcome.		Starboard's record plus a genuinely under-earned margin structure make a large lift credible; lock-in protects growth while costs are cut. ~19% weight on the activist plan substantially landing.		Everything works - the full activist margin target AND an AI/cloud growth re-acceleration AND a multiple re-rate. ~8%, the asymmetric upside.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Underlying growth keeps fading toward ~4% as construction/manufacturing softens and the model-transition tailwind rolls off, while the Starboard campaign stalls: margins inch up but never approach the ~45% target. The franchise holds but compounds slowly off a flat top line.		Underlying growth settles around ~6% as AEC and cloud (Forma/Fusion) only partly offset a maturing core, and Starboard wins a partial cost program — operating margin grinds from low-20s toward ~27%, well short of ~45%. FCF margin firms toward ~30% but the re-rate is muted.		The modal path: underlying (cc, model-adjusted) growth holds ~8-12% as AEC/construction and cloud/AI (Fusion, Forma, agentic AI) compound on a mission-critical, ~98%-recurring base, while Starboard-driven cost discipline lifts operating margin from ~22% toward the mid-30s en route to the ~45% goal. FCF margin expands toward ~34%.		Starboard's program lands close to plan: operating margin marches toward ~38% by FY30 (the ~45% adjusted target on a non-GAAP basis) on sales-optimization, headcount, and capital return, while AEC/construction + cloud/AI keep underlying growth low-teens. FCF margin inflects toward ~37%.		The full second act: Starboard's ~45% operating margin is reached, AI/cloud (Fusion, Forma, agentic design) re-accelerate underlying growth into the low-to-mid-teens, and Autodesk compounds as both a margin and a platform story. FCF margin reaches ~40%.	
A slow-growth, ~mid-20s% FCF-margin software franchise de-rates to a ~15x terminal FCF multiple → DCF ~\$149 (~25%). The recurring base and near-net-cash balance sheet set the floor, but a stalled catalyst caps the value below today's price.		DCF ~\$216 (+9%) — even a 'matures but defends, margins only partly improve' path clears today's price modestly. The switching-cost lock-in keeps the multiple from collapsing; the upside is capped without the full margin program.		DCF ~\$304 (+53%) — durable lock-in plus a credible margin program at ~21x terminal FCF re-rates the de-rated entry. On the lower underlying growth (not the +18% headline) the modal case still recovers well above spot; this is the core of the finding.		DCF ~\$437 (+120%) - if the under-earned margin gap closes against a still-growing, locked-in franchise, the entry re-rates to a high-quality compounder multiple. This is the activist-success core of the bull.		DCF ~\$537 (+171%) - the franchise re-rates to a premium design-platform multiple as growth AND margins both inflect; ~8% probability, the long-duration tail the depressed entry is buying.	

Autodesk business snapshot

Bear \$216.32 Base \$303.52 Bull \$436.97

FY22-FY26 history + FY26-FY30 scenario projections · fiscal years end late Jan · FQ1 FY2027 (Apr'26) results



Sources: SEC XBRL company facts (CIK 769397), Autodesk FQ1 FY2027 release (revenue \$1.93B/+18% cc +16%, billings \$2.13B/+18%, non-GAAP operating margin ~39%, FCF \$876M/+58% seasonal peak, RPO \$7.81B/+9%), Starboard ~\$500M stake / ~45% FY28 operating-margin push. Revenue is a growth path off FY26 (base uses underlying cc/model-adjusted ~8-12%, NOT the +18% headline); FCF = revenue x FCF margin; Gordon terminal. Multiples vs PTC, ANSS, ADBE, DASSY.

Autodesk 7 Powers · the moat, scored

Bear \$216.32 Base \$303.52 Bull \$436.97

Arena. Design/engineering software — Autodesk (CAD/BIM franchise: AutoCAD, Revit, Fusion, Construction Cloud) vs PTC, Dassault, Ansys, Bentley, Adobe, and emerging cloud-CAD; auditing a switching-cost Power against maturing growth and an activist-forced margin reset.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	R&D and go-to-market leverage across a ~\$7.2B, ~98%-recurring base; large vs CAD peers, the cost base Starboard is targeting.
Network Economies ■■■	File-format + ecosystem effects (.dwg/.rvt as industry standards, partner/plugin ecosystem) — real but more standard than two-sided network.
Counter-Positioning ■■■	Was the desktop-CAD disruptor; now the subscription incumbent, with cloud-CAD challengers counter-positioning against it.
Switching Costs · thesis leans here ■■■	The dominant Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates and deep workflow integration make migration costly and rare.
Branding ■■■	AutoCAD/Revit are category-defining, mission-critical brands with pricing power across architecture/engineering/manufacturing.
Cornered Resource ■■■	The installed file-format standards + decades of drawing data are a quasi-cornered asset, though not legally exclusive.
Process Power ■■■	Emerging via the Starboard cost program (sales-optimization, comp realignment) and cloud/AI delivery — the margin-expansion lever, unproven at the ~45% target.

PEER SET

PTC CAD/PLM peer (Creo, Windchill); recurring-software comp on growth and margin.	10% gr · 27% mgn · ~30x EV/FCF
Dassault Systemes CAD/PLM scale leader (SolidWorks, CATIA, 3DEXPERIENCE); the closest large-cap design franchise.	8% gr · 30% mgn · ~30x P/E
Ansys Simulation leader (now Synopsys-owned); adjacency in engineering software.	11% gr · 40% mgn · ~30x EV/FCF
Bentley Systems Infrastructure-engineering software; direct AEC competitor in civil/infrastructure.	10% gr · 28% mgn · ~35x P/E

THREAT VECTORS · FALSIFIERS

Switching Costs · Cloud-CAD challengers / open file formats falsifier: A credible browser-native CAD platform or open .dwg/.rvt interoperability erodes lock-in and lifts churn.
Scale Economies · Maturing growth + construction/manufacturing cycle falsifier: Underlying (ex-billing-change) growth decelerates below ~6% as end-markets soften, de-levering the operating model.
Process Power · Starboard rebuffed / margin program stalls falsifier: Operating margin stays near ~22% and the ~45% target slips, confirming the under-earned gap won't close.

COMPETITIVE READ

Autodesk's dominant Power is switching costs — CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates, and deep workflow integration make its ~98%-recurring base sticky and mission-critical, durability high — reinforced by category-defining branding and real scale. The live audit question is not whether the moat holds but whether two things stack on top of it: a maturing top line (the +18% as-reported figure is flattered by the billing change; underlying is ~8-12%) and a Starboard-forced lift toward ~45% operating margin, a process-power catalyst that is unproven at target. The threats are a cloud-CAD/open-format challenge to lock-in, a construction/manufacturing cycle, and the activist program stalling. The ~31% de-rate to ~17x FCF prices maturing growth heavily; the DCF tests lock-in plus the margin catalyst, and even the bear is +9% with the modal case +53% on the lower underlying growth — cheap quality with a catalyst, with activist/execution noise the watch-out.

Autodesk show your work

Bear \$216.32 Base \$303.52 Bull \$436.97 · Weighted \$304.79 (+39.3%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$148.74					\$216.32					\$303.52					\$436.97					\$537.38				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+4.0					+6.4					+9.0					+10.4				
Year-5 op margin (%)					23.0					27.0					33.0					38.0				
WACC (%)					9.5					9.0					8.5					8.0				
Terminal growth (%)					3.0					3.5					3.5					4.0				
Terminal FCF (\$B)					\$2.37B					\$2.95B					\$3.77B					\$4.37B				
Starting revenue (\$B)					7.21					7.21					7.21					7.21				
Scenario probability (%)					13					26					34					19				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	7.49	+20%	+1.80	+1.64	FY26	7.71	+23%	+2.08	+1.91	FY26	7.93	+25%	+2.30	+2.12	FY26	8.07	+28%	+2.50	+2.32	FY26	8.21	+30%	+2.63	+2.44
FY27	7.79	+21%	+1.95	+1.63	FY27	8.25	+24%	+2.31	+1.94	FY27	8.72	+27%	+2.70	+2.30	FY27	8.96	+31%	+2.96	+2.53	FY27	9.28	+34%	+3.25	+2.80
FY28	8.11	+22%	+2.11	+1.61	FY28	8.75	+25%	+2.54	+1.96	FY28	9.50	+29%	+3.04	+2.38	FY28	9.85	+34%	+3.45	+2.74	FY28	10.40	+38%	+3.85	+3.07
FY29	8.43	+22%	+2.19	+1.52	FY29	9.27	+26%	+2.78	+1.97	FY29	10.26	+31%	+3.39	+2.44	FY29	10.84	+36%	+3.90	+2.87	FY29	11.54	+41%	+4.50	+3.33
FY30	8.77	+23%	+2.37	+1.50	FY30	9.83	+27%	+2.95	+1.92	FY30	11.09	+33%	+3.77	+2.51	FY30	11.82	+38%	+4.37	+2.98	FY30	12.69	+43%	+5.08	+3.49
Σ PV explicit FCF					+7.90					+11.75					+13.43					+15.13				
+ PV terminal (g 3.0%)					23.83					51.89					77.36					95.47				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$31.73B					\$63.64B					\$90.79B					\$110.60B				
+ Cash & investments					\$2.60B					\$2.60B					\$2.60B					\$2.60B				
– Total debt					\$2.50B					\$2.50B					\$2.50B					\$2.50B				
= Equity value					\$31.83B					\$63.74B					\$90.89B					\$110.70B				
FY30 shares (M)					214					210					208					206				
= Expected per share					\$148.74					\$303.52					\$436.97					\$537.38				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$234.15	\$368.61	\$580.28	\$913.50		\$332.84	\$512.11	\$787.94	\$1,212.35		\$456.39	\$686.25	\$1,031.89	\$1,551.61		\$642.05	\$943.39	\$1,386.14	\$2,036.70		\$782.30	\$1,138.86	\$1,657.92	\$2,413.55	
1.07×	1.68×	2.65×	4.17×		1.52×	2.34×	3.60×	5.54×		2.09×	3.14×	4.72×	7.09×		2.93×	4.31×	6.33×	9.31×		3.57×	5.20×	7.58×	11.03×	

Autodesk

People · Opportunity · Context · Deal

Bear \$216.32 Base \$303.52 Bull \$436.97

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Andrew Anagnost

9 yrs in seat

0.5%

insider ownership

LOW

key-person risk

Capital allocation (realized)
Disciplined capital return. No dividend since 2004; buybacks are the primary return and are accelerating (\$1.4B in FY2026 against a \$10B authorization), outpacing heavy SBC (\$788M FY2026) so the share count net-declines (~229M in 2009 to ~211M in 2026). Balance sheet is roughly net-cash (~\$3.0B cash + securities vs ~\$2.5B notes). M&A is programmatic tuck-ins, not transformational.

Incentive alignment
CEO pay is heavily equity-weighted (FY2026 total ~\$30.1M, ~90% stock, ~4% salary). Say-on-pay passed in 2026. Insider Form 4 activity is mostly grants + tax-withholding; a recent alignment signal is CFO Janesh Moorjani's open-market BUY of 2,500 shares (~\$0.5M) in Jun 2026.

GOVERNANCE FLAGS

- single class, one vote per share; no controlling or super-voting holder
- strong structure: an independent Chair (Stacy Smith) separate from the CEO, 11 directors with 10 independent (~91%), all-independent committees, and an annually-elected (declassified) board
- central flag - a FY2024 audit-committee investigation into free-cash-flow / non-GAAP operating-margin practices (FY2022-24): discretionary spend, collections, and AP timing were informed by their effect on FCF/margin targets; NO restatement, but remedial measures and an NT 10-K / delayed 10-K resulted
- CFO turnover around the probe (Clifford → interim Rafael → permanent Moorjani, 2024)
- Starboard Value activist campaign (2024-25, ~\$500M stake, publicly urged a CEO change) settled Apr 2025 with two new independent directors (Epstein, Simons) + a standstill

PEOPLE READ

Structurally clean governance - single-class one-vote, an independent Chair split from a long-tenured professional CEO, a ~91%-independent declassified board, and buyback discipline that shrinks the share count. Held to a 3 by the FY2024 free-cash-flow / non-GAAP-margin reporting investigation (no restatement, but a real control-environment flag), the CFO turnover around it, and the Starboard campaign that had to force accountability.

THE FOUR LEGS

People

observable composite · 1-5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the +53.6% finding), then position-sized.

Autodesk supporting analysis · disclaimers · glossary

Bear \$216.32 Base \$303.52 Bull \$436.97

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

The +18% growth is a billing-model mirage.
The agency→direct model inflates as-reported revenue/billings/FCF; the base uses the lower underlying ~8-12%, and still lands +53%.
- 2

Switching costs are the real moat.
CAD/file-format lock-in (.dwg/.rvt, trained workforces, BIM mandates) makes Autodesk mission-critical - the durability, not the growth rate.
- 3

Starboard is forcing an under-earned margin.
A ~\$500M stake + proxy fight pushing ~45% operating margin by FY28 against ~22% today is the explicit margin catalyst, not a growth bet.
- 4

Maturing growth is the live risk.
Decelerating mid-teens (before the billing flatter), cyclical end-markets, and execution/CEO noise keep the bear (+9%) and ultra-bear (-25%) in play.
- 5

Roughly net-cash-neutral, p_fail ~0.
\$2.60B cash vs \$2.50B debt (~\$0.1B net cash) on \$2.4B FCF — no solvency risk; the downside is multiple/margin execution.

FALSIFICATION TRIGGERS

Bull validation

Starboard margin program ratified, operating margin steps toward mid-30s+ · underlying (cc/model-adjusted) growth holds >=8% · RPO/billings re-accelerate ex-model-change · AEC + cloud keep outperforming

Bear validation

underlying growth decelerates below ~6% ex-billing-change · the activist program stalls and margins stay near ~22% · construction/manufacturing cycle turns down · CEO/execution disruption

Reframe needed

if the lock-in cracks (a cloud-CAD challenger or open file formats erode .dwg/.rvt switching costs) OR Starboard exits with margins unchanged, re-rate the terminal toward a slow-growth, mid-20s-margin software multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Switching costs — Helmer Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, and BIM mandates that make leaving Autodesk costly — the dominant, durable moat.

AEC — Architecture, Engineering & Construction — Autodesk's largest segment (Revit, AutoCAD, Construction Cloud); the outperforming end-market plus Manufacturing (Fusion) drives the top line.

New transaction model — The agency→direct billing change that inflates as-reported revenue/billings/FCF growth; the base strips it out to the lower underlying (cc, model-adjusted) ~8-12% rate.

Starboard / activist — Starboard Value's ~\$500M stake and proxy fight pushing ~45% adjusted operating margin by FY28, comp realignment, and a CEO reassessment — the explicit margin catalyst (a process-power story).

FCF margin — Free cash flow / revenue (~33% FY26 as-reported); the mature-DCF swing factor — whether the activist-forced operating-margin lift toward ~45% converts to free cash flow.